DECK 06 · WEEK 3 · MORNING 2

FSA I
Framework, IS & BS

Reading financial statements like an analyst — from IFRS 15 revenue to goodwill impairment

CFA Level I · Vol 4 Learning Modules 1–3

Roadmap — FSA I — Framework, Income Statement & Balance Sheet

5 sections · ~2 hours · Built bottom-up from CFA readings

01

FSA framework & reporting standards

5-phase framework · 4 source layers · IFRS vs US GAAP · audit opinion ladder

02

Income statement — revenue & expense recognition

IFRS 15 five-step · AtlasBuild long-term contract · principal vs agent · inventory · depreciation

03

Non-recurring items & EPS

Discontinued ops · basic EPS with weighted shares · if-converted · treasury-stock method

04

Balance sheet — classification & measurement

Current vs non-current · historical · amortized · fair value · IFRS 9 three buckets

05

Intangibles, goodwill & common-size analysis

IFRS dev-phase capitalize · RivieraCorp goodwill · BrightCo vs ShoreInc peer compare

Learning objectives

By the end of this deck you should be able to:

1. Walk through the five phases of a financial statement analysis and identify the source layers — statements, notes, MD&A, audit report — that feed each phase.

2. Apply the converged IFRS 15 / ASC 606 five-step revenue-recognition model to a long-term contract and explain how principal-vs-agent classification reshapes reported revenue.

3. Adjust a company's reported earnings for non-recurring items and compute both basic and diluted EPS under the if-converted and treasury-stock methods.

4. Classify balance-sheet items as current vs non-current and identify which measurement basis — historical, amortized, or fair value — applies to each line.

5. Distinguish identifiable intangibles from goodwill, capitalize the right development-phase costs under IFRS, and use common-size statements to compare two peers on one axis.

SECTION 01

FSA framework & reporting standards

Financial statement analysis is a disciplined five-phase process that turns raw filings into a defensible investment or credit recommendation

Skipping Phase 1 is the most common analyst error — ratios without a purpose answer no question.

Phase	Input	Output / deliverable
1. Articulate purpose & context	Mandate, client needs, institutional guidelines	Written list of questions to answer; scope, deadline
2. Collect data	Financials, filings, site visits, IR conversations	Raw financial + industry data in usable form
3. Process data	Phase 2 data, analytical tools	Adjusted statements, common-size, ratios, charts, forecasts
4. Analyze & interpret	Processed data + peer / industry context	Valuations, forecasts, conclusions to support a recommendation

WHY A FRAMEWORK MATTERS

The framework forces the analyst to separate fact-gathering from interpretation, and interpretation from recommendation — the same three-step discipline that underpins CFA Standard V(B) on communicating recommendations.

Source: CFA Institute, Curriculum Vol 4, Learning Module 1, Exhibit 1, pp. 5–8.

A complete analyst file draws on four source layers: the statements themselves, the notes, management's commentary, and the auditor's report

Each layer answers a different question. The statements give the "what"; the notes give the "how"; MD&A gives the "why"; the audit gives the "can we trust it?"

1. **Financial statements (BS, IS, CF, equity)**
   The quantified backbone. Report what was owned, what was earned, and how cash moved. Standardised under IFRS or US GAAP; audited.

2. **Notes & supplementary schedules**
   Basis of preparation, accounting policies, segment data, contingencies, related-party transactions. Often account for >60 pages — where the real answers live.

3. **Management Discussion & Analysis (MD&A)**
   Management's narrative on results, liquidity, capital resources, critical estimates, known trends. Unaudited — weigh it against the numbers.

4. **Auditor's report**
   Independent opinion on whether statements fairly present the company's position under the applicable framework. Highlights key audit matters.

Source: CFA Institute, Curriculum Vol 4, Learning Module 1, pp. 13–20.

IFRS and US GAAP have converged on revenue and leases but still diverge on R&D, LIFO, inventory write-downs, and development costs

Convergence is a direction of travel, not a destination. An analyst comparing cross-border peers must isolate the residual differences.

Area	IFRS	US GAAP
Revenue recognition	IFRS 15 — converged 5-step model	ASC 606 — identical 5-step model
Leases (lessee)	IFRS 16 — single on-BS lease liability	ASC 842 — on-BS, but operating vs finance P&L split
Inventory — LIFO allowed?	Prohibited — FIFO or weighted-average only	Permitted — widely used for tax benefits
Inventory write-downs	Reversible if NRV recovers	Write-downs are permanent — no reversal
R&D — development phase	Capitalize if 6 technical/commercial criteria met	Expense all R&D as incurred (narrow software exception)
Intangibles — revaluation	Cost or revaluation model allowed	Cost model only

PRACTICAL CONSEQUENCE

Two companies with identical cash flows can report materially different EBITDA, margins, and book value under the two frameworks. Adjust before comparing.

Source: CFA Institute, Curriculum Vol 4, Learning Modules 1–3, comparison summary.

The auditor's opinion sits on a four-step ladder from unqualified clean bill through adverse rejection — read the opinion before the numbers

Anything other than unqualified is a red flag. Disclaimers in particular mean the auditor could not gather enough evidence to form an opinion.

Opinion	Meaning	Analyst action
Unqualified (clean)	Statements present fairly in all material respects under IFRS/US GAAP	Proceed with standard analysis
Qualified	Statements fair except for a specific identified issue	Isolate the issue; adjust or exclude the affected line
Adverse	Statements do NOT present fairly — material and pervasive misstatement	Halt model — the numbers cannot be relied upon
Disclaimer of opinion	Auditor could not obtain sufficient evidence to form any opinion	Treat as unaudited — severely downgrade data

INTERNAL-CONTROL OPINION (US SOX)

For US issuers, the auditor also opines on effectiveness of internal control over financial reporting under Section 404 of Sarbanes–Oxley. A material weakness flag should be read as seriously as a qualified financial-statement opinion.

KEY AUDIT MATTERS (IFRS)

Under ISA 701, auditors highlight matters of most significance — revenue recognition, goodwill impairment, tax provisions. These are a direct map of where management judgment drives the numbers.

Source: CFA Institute, Curriculum Vol 4, Learning Module 1, pp. 20–23.

SECTION 02

Income statement: revenue & expense recognition

IFRS 15 and ASC 606 collapse all revenue recognition into a single principles-based five-step model, applied to every contract with a customer

Core principle — revenue is recognised to depict the transfer of promised goods or services at an amount that reflects the consideration the entity expects to be entitled to.

Contract → Performance obligations → Transaction price → Allocate price → Recognise revenue

where: Steps 1–2 identify WHAT is promised, Steps 3–4 quantify HOW MUCH, Step 5 determines WHEN

1	**1. Identify the contract** Enforceable agreement with commercial substance and probable collectability. IFRS "probable" = more likely than not; US GAAP = likely.
2	**2. Identify performance obligations** Promises to transfer distinct goods or services. A good/service is distinct if the customer can benefit on its own.
3	**3. Determine the transaction price** Consideration the seller expects. Include variable consideration (discounts, rebates) constrained to amount not likely to reverse.
4	**4. Allocate to performance obligations** Split transaction price by relative standalone selling prices when a contract has multiple obligations.
5	**5. Recognise revenue** When (point in time) or as (over time) control transfers to the customer. Use output or input methods for over-time progress.

Source: CFA Institute, Curriculum Vol 4, Learning Module 2, pp. 40–44. IFRS 15 / ASC 606 Core Principle.

Applied to a long-term defense contract, IFRS 15 unlocks percentage-of-completion revenue even when cash lags production

Over-time recognition applies when the customer controls the asset as it is built, or when the asset has no alternative use and the entity has an enforceable right to payment.

ATLASBUILD INC. · USD 10M WEAPONS-SYSTEM CONTRACT · INPUT METHOD

Contract price USD 10.0m. Estimated total cost USD 7.0m → expected profit USD 3.0m. Two-year build. Year 1 actual costs USD 4.2m.

1. Step 1: contract is enforceable with a government customer — collectability probable ✓
2. Step 2: single performance obligation — bespoke weapons system with no alternative use ✓
3. Step 3: transaction price = USD 10.0m (no variable consideration)
4. Step 4: all of USD 10.0m allocated to the single performance obligation
5. Step 5 — over time, input method: % complete = 4.2 / 7.0 = 60%
6. Year 1 revenue recognised = 60% × 10.0m = USD 6.0m; COGS = 4.2m; Profit = USD 1.8m (= 60% × 3.0m)

Year 1: Revenue 6.0m · COGS 4.2m · Profit 1.8m · cumulative 60% of contract recognised

Source: CFA Institute, Curriculum Vol 4, Learning Module 2, Example 1 "Long-Term Contracts", pp. 43–44.

The principal-vs-agent decision changes reported revenue by a factor of 3 without touching a single dollar of cash profit

Principal controls the good before transfer and recognises GROSS revenue. Agent arranges the transfer and recognises only the NET commission.

Line item	Principal (controls product)	Agent (arranges transfer)	Δ %-points
Reported revenue	USD 100	USD 30	−70%
Cost of sales	USD 70	USD 0	
Gross profit	USD 30	USD 30	identical
Other operating costs	USD 10	USD 10	
Net profit	USD 20	USD 20	identical
Gross margin	30.0%	100.0%	+70 pp
Net margin	20.0%	66.7%	+46.7 pp

WHY ANALYSTS CARE

E-commerce platforms (marketplaces vs first-party), ride-hailing apps, and digital ad-tech all mix principal and agent sales. Growth rates and margins are not comparable unless the mix is disclosed and tracked over time.

Source: CFA Institute, Curriculum Vol 4, Learning Module 2, Example 1 "Principal vs Agent", pp. 42–43.

Expense recognition follows one of three rules: match to related revenue, expense as incurred, or capitalize and amortize over useful life

The choice is determined by whether the spending consumes a benefit today, in the same period as revenue, or over multiple future periods.

1 · MATCHING

Recognise expense in the same period as the related revenue.

Example: cost of goods sold matched to sales; warranty provision matched to the sale that triggered it.

IFRS calls this a "matching concept" rather than principle — a subtle semantic but the mechanic is the same.

2 · PERIOD — AS INCURRED

Expense as consumed regardless of revenue.

Examples: administrative salaries, rent, utilities, advertising, R&D (IFRS research + US GAAP R&D).

Used when the benefit is consumed in the same period as the outflow with no clear revenue link.

3 · CAPITALIZE + AMORTIZE

Defer the cost as an asset, then spread recognition over useful life.

Examples: PP&E → depreciation; intangibles → amortization; development-phase software (IFRS only).

The depreciation method and useful-life estimate become analyst-scrutinised judgements.

Source: CFA Institute, Curriculum Vol 4, Learning Module 2, pp. 45–54.

Inventory cost-flow assumptions (FIFO, weighted-average, LIFO) move COGS and gross margin even when purchase prices are identical

Example — BrightCo purchases 7,600 units in rising-cost lots and sells 5,600. Same cash flows, three different reported gross profits.

Measure	FIFO	Weighted-avg	LIFO (US GAAP only)
Units purchased	7,600	7,600	7,600
Total purchase cost	USD 321,600	USD 321,600	USD 321,600
Units sold	5,600	5,600	5,600
Revenue (5,600 × 50)	USD 280,000	USD 280,000	USD 280,000
COGS	USD 231,800	USD 237,053	USD 242,100
Gross profit	USD 48,200	USD 42,947	USD 37,900
Ending inventory	USD 89,800	USD 84,547	USD 79,500
Gross margin	**17.2%**	**15.3%**	**13.5%**

[1] LIFO is permitted under US GAAP (widely used for tax deferral) but prohibited under IFRS — adjust before comparing US and non-US peers.
[2] Weighted-average cost = total cost of units available / total units available. Recomputed with each purchase under a perpetual system.

Source: CFA Institute, Curriculum Vol 4, Learning Module 2, Example 2, pp. 45–48.

Depreciation method and useful-life estimate are management choices that reshape both the income statement and the balance sheet

BrightCo purchases a USD 1,200 asset with 5-year useful life and zero salvage. Straight-line is smooth; double-declining front-loads expense.

Year	SL depreciation	SL net book value	DDB depreciation	DDB net book value
0	—	USD 1,200	—	USD 1,200
1	240	960	480	720
2	240	720	288	432
3	240	480	173	259
4	240	240	104	155
5	240	0	155	0
Total	**1,200**	**—**	**1,200**	**—**

ANALYST TAKE

Accelerated methods depress early-year earnings and ROA but lower tax bills earlier, lifting free cash flow. Total lifetime depreciation (and total lifetime earnings) are identical — it is purely a timing choice.

Source: CFA Institute, Curriculum Vol 4, Learning Module 2, "Depreciation and Amortization", pp. 50–54.

SECTION 03

Non-recurring items & EPS

Analysts strip out items that will not repeat — discontinued operations, restructuring charges, asset-sale gains — before forecasting future earnings

Four distinct treatments. The key analyst question is always: is this item going to recur?

Item	Treatment	Analyst action
Discontinued operations	Reported NET OF TAX at bottom of IS, below continuing ops	Exclude entirely when forecasting
Unusual or infrequent items	Part of continuing ops but presented separately (restructuring, asset-sale gains)	Case-by-case — often excluded
Change in accounting POLICY	Retrospective application — restate prior periods	Comparable data — use restated numbers
Change in accounting ESTIMATE	Prospective only — no restatement	Watch for repeated estimate changes = earnings management risk

FROM REPORTED TO "CORE" EARNINGS

Reported net income − after-tax discontinued ops − unusual one-off gains + unusual one-off charges = core continuing earnings. Most sell-side forecasts apply multiples to this core number, not headline GAAP EPS.

Source: CFA Institute, Curriculum Vol 4, Learning Module 2, "Non-Recurring Items", pp. 64–68.

Basic EPS is straightforward division — the only tricky piece is the weighted-average number of shares outstanding over the period

Each change in share count is weighted by the fraction of the year for which the new count was outstanding.

Basic EPS = (Net income − Preferred dividends) / Weighted-avg common shares outstanding

where: Stock splits and stock dividends are treated as if they occurred at the beginning of the period — retroactive restatement.

ANGLER PRODUCTS · FULL-YEAR 2018

Net income USD 2,500,000. Preferred dividends USD 200,000. Share history below.

1. Shares outstanding 1 Jan: 1,000,000 → × (3/12) = 250,000
2. New issuance 1 Apr 2018: +200,000, so 1,200,000 × (6/12) = 600,000
3. Buyback 1 Oct 2018: −100,000, so 1,100,000 × (3/12) = 275,000
4. Weighted-avg shares = 250,000 + 600,000 + 275,000 = 1,125,000
5. Basic EPS = (2,500,000 − 200,000) / 1,125,000 = USD 2.04

Basic EPS = USD 2.04 (after deducting preferred dividends and weighting each share count by its time outstanding)

Source: CFA Institute, Curriculum Vol 4, Learning Module 2, Examples 8–10, pp. 70–72.

Diluted EPS adds back convertible interest (net of tax) and the new shares, then recomputes — the if-converted method for convertible bonds

Always run the antidilutive test: if "diluted" EPS comes out HIGHER than basic, the security is antidilutive and is ignored.

Diluted EPS = [NI + (Interest × (1 − t))] / [WA shares + new shares on conversion]

where: Numerator is adjusted upward (interest saved net of tax); denominator is adjusted upward (new conversion shares). Both directions matter for the final EPS.

NOVASOFT · CONVERTIBLE BOND DILUTION

NI USD 750,000. WA shares 690,000. USD 50,000 of 6% convertible bonds → 10,000 new shares. Tax rate 30%.

1. Interest avoided: 50,000 × 6% = USD 3,000
2. After-tax interest add-back: 3,000 × (1 − 0.30) = USD 2,100
3. Basic EPS = 750,000 / 690,000 = USD 1.087
4. Diluted EPS = (750,000 + 2,100) / (690,000 + 10,000) = 752,100 / 700,000 = USD 1.074
5. Antidilutive test: 1.074 < 1.087 ✓ dilutive — include in reported diluted EPS

Basic EPS = USD 1.087 · Diluted EPS = USD 1.074 (1.3% dilution)

Source: CFA Institute, Curriculum Vol 4, Learning Module 2, Example 12, pp. 73–74.

Employee options and warrants dilute EPS through the treasury-stock method: new shares issued at strike, cash proceeds assumed used to buy back at market

Only in-the-money options dilute. Out-of-the-money options are ignored (antidilutive by definition — no rational exercise).

Net new shares = Options × [(Avg market − Strike) / Avg market]

where: Derivation: options issue N shares; cash proceeds (N × strike) buy back (N × strike / market) shares at average market price. Net = N × (1 − strike/market).

HARBORTECH · 100,000 OPTIONS AT USD 20 STRIKE · AVG MARKET USD 25

Net income USD 1,200,000. Weighted-average shares 800,000. No preferred, no convertible debt.

1. New shares issued on exercise: 100,000
2. Cash proceeds: 100,000 × 20 = USD 2,000,000
3. Shares bought back at USD 25 avg market: 2,000,000 / 25 = 80,000
4. Net new shares added to denominator: 100,000 − 80,000 = 20,000
5. Basic EPS = 1,200,000 / 800,000 = USD 1.500
6. Diluted EPS = 1,200,000 / (800,000 + 20,000) = USD 1.463

Basic EPS = USD 1.500 · Diluted EPS = USD 1.463 (2.4% dilution from in-the-money options)

Source: CFA Institute, Curriculum Vol 4, Learning Module 2, "Diluted EPS: The Treasury Stock Method", pp. 74–76.

SECTION 04

Balance sheet: classification & measurement

Current vs non-current classification tells an analyst in one glance whether the company can pay its bills next year or whether capital is locked up for decades

Test — current if realised/settled within 12 months OR within the normal operating cycle (whichever is longer). Everything else is non-current.

Category	Current (≤ 12m or operating cycle)	Non-current
Assets	Cash & equivalents · marketable securities · A/R · inventory · prepaid	PP&E · intangibles · goodwill · long-term investments · deferred tax assets
Liabilities	A/P · short-term debt · current portion of LT debt · accrued expenses · taxes payable	Long-term debt · bonds payable · pension obligations · lease liabilities · deferred tax

WHY THE CLASSIFICATION MATTERS

The split drives the three standard liquidity ratios that any credit committee will run in seconds:

- Current ratio = Current assets / Current liabilities
- Quick ratio = (Cash + MS + A/R) / Current liabilities
- Cash ratio = (Cash + MS) / Current liabilities

Misclassification — e.g. refinanced debt left in current — can distort all three.

Source: CFA Institute, Curriculum Vol 4, Learning Module 3, pp. 93–96.

Not every balance-sheet line is measured the same way — historical cost, amortized cost, and fair value coexist on the same page

Mixed-attribute model. An analyst must know what each number represents before using it in a ratio or valuation.

HISTORICAL COST

What was paid when the asset was acquired; not updated for later value changes.

Examples: land, PP&E (gross), inventory under FIFO/LIFO/wtd-avg.

Pro: verifiable.
Con: can be decades out of date for long-lived assets.

AMORTIZED COST

Initial recognition amount, minus principal repayments, plus/minus amortisation of discount/premium, minus impairment.

Examples: held-to-maturity debt, loans, notes receivable, most long-term debt issued.

Reflects effective interest rate through the life of the instrument.

FAIR VALUE

Price that would be received to sell an asset (or paid to transfer a liability) in an orderly transaction at the measurement date.

Examples: trading securities (FVPL), equity investments, derivatives, investment property (IFRS elect).

Level 1 / 2 / 3 hierarchy — disclose inputs.

Source: CFA Institute, Curriculum Vol 4, Learning Module 3, pp. 91–93 and IFRS 13 / ASC 820.

Financial assets split into three measurement buckets under IFRS 9 — amortized cost, FVOCI, FVPL — each with different P&L sensitivity

Classification depends on (1) the business model objective and (2) whether the contractual cash flows are solely principal and interest (SPPI test).

Bucket	IFRS 9 test	What hits P&L
Amortized cost	Business model = hold to collect + SPPI cash flows	Interest only (realised)
Fair value through OCI (FVOCI)	Business model = hold to collect + sell, SPPI for debt (or equity irrevocable election)	Interest only; fair-value Δ → OCI
Fair value through profit or loss (FVPL)	All remaining — trading, non-SPPI, or FV election	Fair-value Δ hits net

US GAAP COMPARABLE CATEGORIES

Held-to-maturity (HTM) ≈ amortized cost.

Available-for-sale (AFS, debt only) ≈ FVOCI.

Trading (debt) and all equity investments ≈ FVPL.

US GAAP has no FVOCI election for equity.

WHY THIS MATTERS

Two banks holding identical bond portfolios can report very different earnings volatility purely based on bucket choice. The business-model assertion is made at acquisition and is hard to change.

Source: CFA Institute, Curriculum Vol 4, Learning Module 3, Exhibit 4, pp. 100–103. IFRS 9 / ASC 825.

SECTION 05

Intangibles, goodwill & common-size

Internally developed intangibles are expensed under US GAAP but partially capitalized under IFRS once development-phase criteria are met

Two tech companies with identical R&D spend but different domiciles can report materially different operating margins and total assets.

IFRS (IAS 38)

Research phase → expense as incurred.

Development phase → CAPITALIZE as intangible asset once all six criteria met (technical feasibility, intent to complete, ability to use/sell, probable future benefits, adequate resources, reliable measurement).

Amortize over useful life; annual impairment test for indefinite-life intangibles.

US GAAP (ASC 730 / 350)

All R&D expensed as incurred, both research and development phases.

Narrow exception: internal-use software (ASC 350-40) and software to be sold/licensed (ASC 985-20) once technological feasibility is achieved.

Result: lower reported assets, lower reported earnings early, higher ROA later.

ALWAYS EXPENSED UNDER BOTH FRAMEWORKS

Internally generated brands, mastheads, customer lists · start-up costs · training · advertising & promotion · relocation · reorganization · redundancy costs.

[1] IFRS development-phase capitalization requires all six criteria: technical feasibility, intention to complete, ability to use/sell, future economic benefits, adequate resources, reliable cost measurement.

[2] Purchased (acquired) intangibles are capitalized under both IFRS and US GAAP — the divergence concerns only internally developed intangibles.

Source: based on IAS 38 and US GAAP ASC 730 / 350 guidance, illustrative comparison.

Goodwill is the accounting residual when a buyer pays more than the fair value of identifiable net assets — it sits on the balance sheet until an impairment test says otherwise

Accounting goodwill only arises in acquisitions. Economic goodwill — the present value of excess returns — is unmeasured and reflected only in the share price.

Goodwill = Purchase price − Fair value of identifiable net assets acquired

where: Identifiable net assets = FV of identifiable tangible + intangible assets − FV of liabilities and contingent liabilities assumed.

RIVIERACORP · ACQUIRES COASTALCO FOR USD 800M

FV identifiable assets USD 600m (PP&E 350 · intangibles 180 · working capital 70). FV liabilities assumed USD 150m.

1. Fair value of identifiable net assets = 600 − 150 = USD 450m
2. Purchase price consideration transferred = USD 800m
3. Goodwill = 800 − 450 = USD 350m
4. Goodwill is NOT amortized — tested for impairment at least annually at the CGU (IFRS) or reporting-unit (US GAAP) level
5. If RivieraCorp later writes down the goodwill by USD 200m, that impairment charge hits the income statement as a non-cash expense

Goodwill recognized at acquisition = USD 350m (43.8% of purchase price)

Source: CFA Institute, Curriculum Vol 4, Learning Module 3, pp. 97–100. IFRS 3 / ASC 805.

Common-size income statements strip out scale and reveal the margin architecture of each company on a single percentage-of-revenue axis

Every line expressed as % of revenue. BrightCo is a branded consumer-staples peer; ShoreInc is a low-margin distributor — same sector, very different models.

Line item	BrightCo (USDm)	BrightCo %	ShoreInc (USDm)	ShoreInc %
Revenue	2,500	100.0%	2,500	100.0%
Cost of goods sold	(1,100)	(44.0%)	(2,000)	(80.0%)
Gross profit	1,400	56.0%	500	20.0%
SG&A	(650)	(26.0%)	(250)	(10.0%)
R&D	(150)	(6.0%)	(10)	(0.4%)
Operating income	600	24.0%	240	9.6%
Net income	420	16.8%	170	6.8%

WHAT THE PERCENTAGES REVEAL

Same revenue and similar operating income %, but BrightCo spends 6% on R&D (brand innovation) and 26% on SG&A (marketing) — hallmarks of a branded staples peer. ShoreInc runs a low-margin, high-volume distribution model with minimal overhead.

Source: CFA Institute, Curriculum Vol 4, Learning Module 2, "Common-Size Analysis of the Income Statement", pp. 85–88.

A common-size balance sheet scales every line to total assets and exposes capital structure, inventory intensity, and goodwill concentration at a glance

Same exercise on the BS — every line as % of total assets. BeaconUtility is capital-intensive; NovaSoft is asset-light and goodwill-heavy from prior acquisitions.

Line item	BeaconUtility %	NovaSoft %	Reading
Cash & marketable securities	4%	42%	NovaSoft self-funds capex from cash
Accounts receivable	5%	7%	Similar collection cycles
Inventory	3%	1%	Services model vs regulated utility
Property, plant & equipment	72%	8%	Capital intensity gap is the whole story
Goodwill + intangibles	4%	33%	NovaSoft is acquisition-built
Total liabilities	68%	42%	Utility leverage vs software conservatism

COMMON-SIZE FIRST, RATIOS SECOND

Common-size statements are the gateway to ratio analysis — they force an analyst to see the shape of the firm before drilling into individual liquidity, solvency, and activity ratios.

Source: CFA Institute, Curriculum Vol 4, Learning Module 3, Example 1 and Exhibit 12, pp. 111–114.

KEY TAKEAWAYS

Deck 6 — FSA I — Framework, Income Statement & Balance Sheet

- FSA is a five-phase discipline — articulate purpose, collect, process, interpret, follow up — drawing on four source layers (statements, notes, MD&A, auditor report).
- Revenue under IFRS 15 follows a single five-step model: contract → obligations → price → allocate → recognize. AtlasBuild 60% complete → 6m revenue, 1.8m profit on a 10m/7m contract.
- Strip out non-recurring items (discontinued ops, unusual/infrequent, policy changes) before forecasting. Reported EPS is reconciled to "core" EPS for multiples.
- BS lines live on a mixed-attribute model: historical, amortized, or fair value. IFRS 9 sorts financial assets into amortized cost / FVOCI / FVPL by business model + SPPI test.
- IFRS and US GAAP are converged on revenue (IFRS 15 / ASC 606) and leases but still diverge on LIFO, inventory write-down reversal, R&D capitalization, and intangible revaluation.
- Principal vs agent can change reported revenue by 3× (100 → 30) while leaving net profit unchanged (both 20). Analysts must know the mix before comparing growth rates.
- Basic EPS weights share counts by time. Diluted EPS adds back convertible interest net of tax (if-converted) and net new option shares (treasury stock) — only when dilutive.
- Internally developed intangibles: IFRS capitalizes development-phase once 6 criteria met; US GAAP expenses all R&D. Goodwill = price − FV net identifiable; annual impairment test, not amortized.